

GTM Strategy for Grocero

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Product-Market Fit

Assumptions:

Targeted users order groceries online/offline at least once or twice a month

Highlighting **grocery subscription** as service

Problems served:

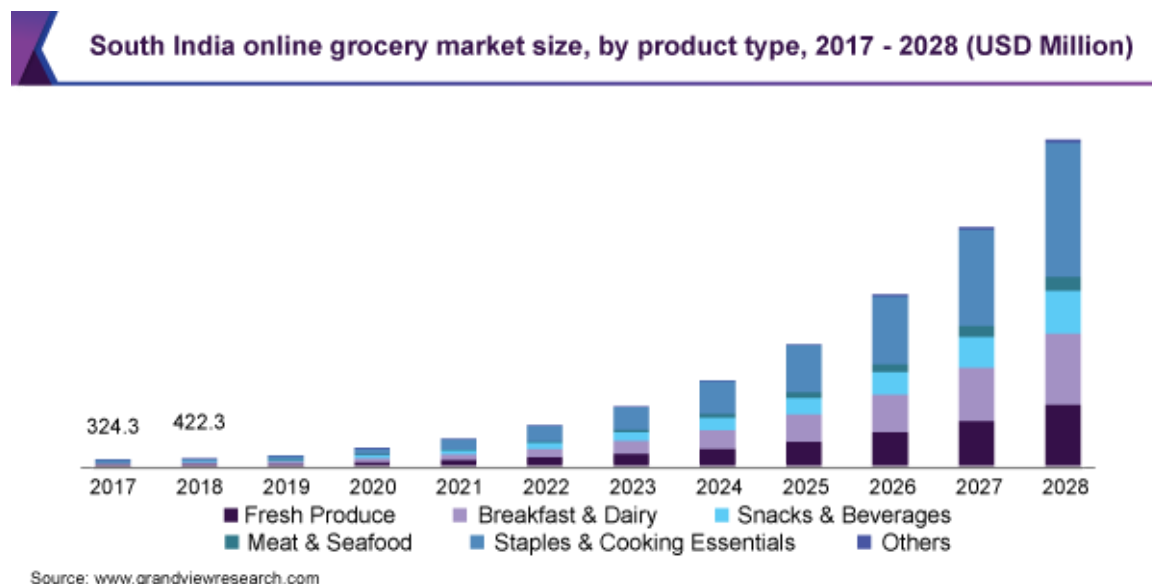
1. Users cannot keep track of everything they need for groceries
2. Users have to choose all their items again when reordering, which can be a hassle
3. Users find it time-consuming to select the same products every month
4. COVID-like scenarios make it difficult to purchase groceries offline

Why launch Grocero now?

It's high time for hyperlocal services like online grocery delivery.

Statistics:

Online grocery market in India is rising at around 30% CAGR with \$ 5.3 billion in 2022



Ref. <https://www.grandviewresearch.com/industry-analysis/india-online-grocery-market>

Competitive landscape

BigBasket, Instamart, Dunzo, Blinkt, Delight, and Local supermarkets have online deliveries

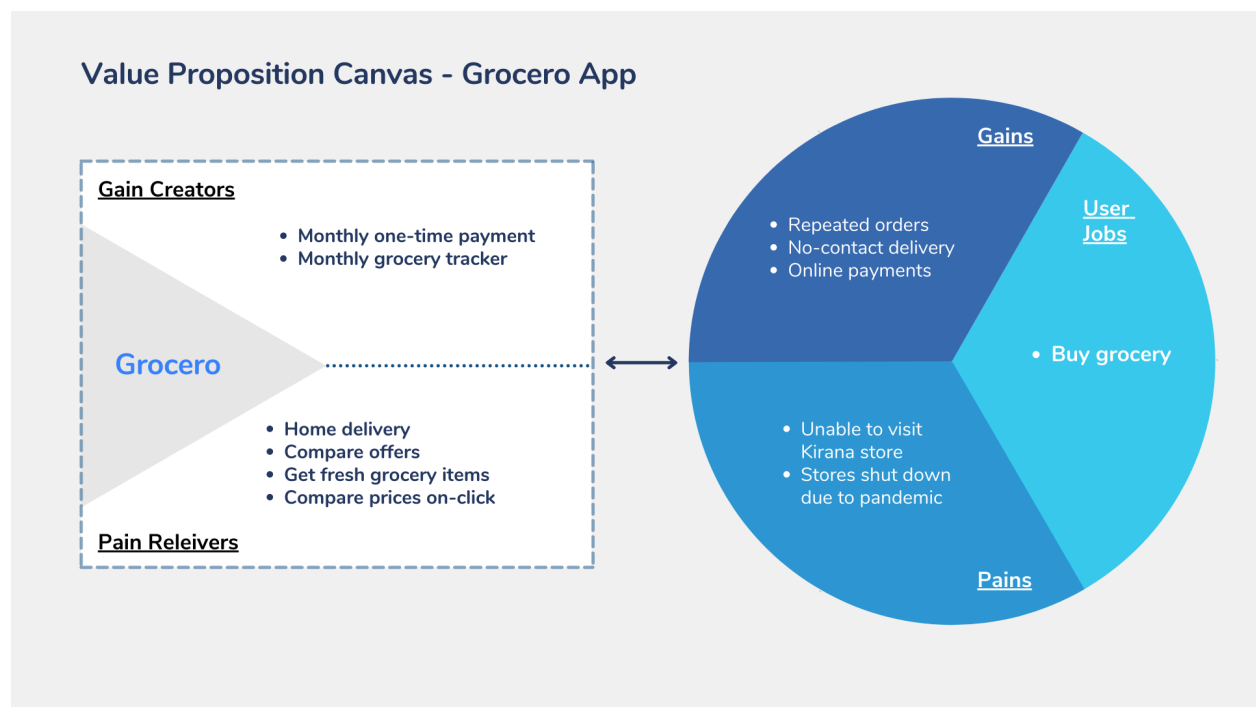
Distribution

Chennai - Launching app services in the area where IT professionals live because higher tech savviness, tends to order groceries online, high paying users

Creating inventory for most ordered items by creating dark stores in targeted customers' residence areas. Since we will have the list of items ordered monthly/weekly, it will be more convenient to fill up the stock for the inventory.

For diary items: Connecting with farmers, and dairy around the city and delivering as per the preferred subscriptions.

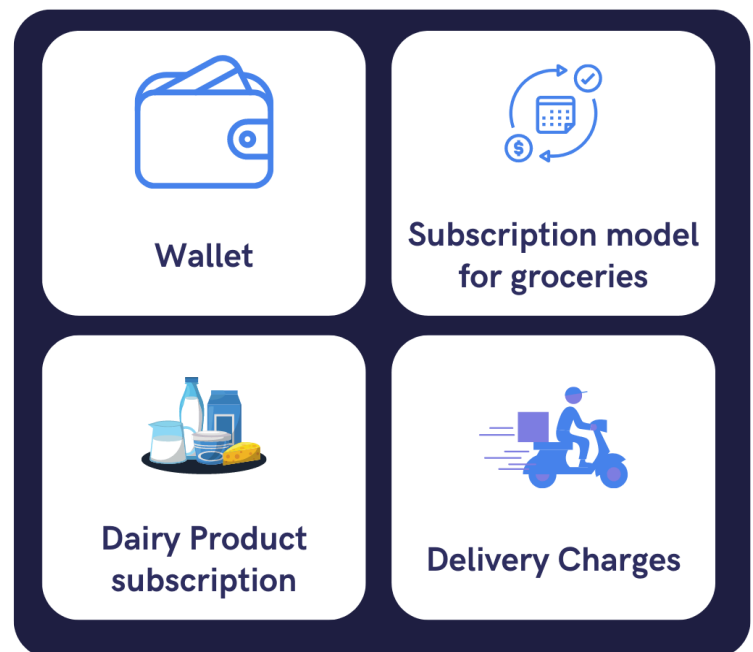
Value Proposition Canvas



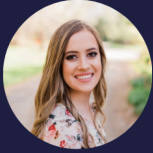
Value proposition	1. Grocery subscriptions - order monthly/weekly groceries with just a click 2. Wallet - Add money once and forget payment checkout all the time or COD 3. No delivery fee - Free delivery for monthly subscribed items
Positioning	Automated groceries delivered on time, online grocery app
Messaging	Order groceries without hassle Automate your grocery shopping with Grocero
Customer journey	Users can create a list of grocery items they need on a monthly/weekly basis, confirm subscription price and get listed groceries on the desired date

Pricing strategy

1. Wallet for grocery subscription - top up your wallet once and get all groceries delivered weekly/monthly
2. Subscription model for groceries - Users can create a list of grocery items they need on a monthly/weekly basis, and will be able to buy a subscription for the entire list. X% discount on subscribed grocery list
3. Dairy Product subscription: Get fresh dairy items like milk, bread, etc delivered every 3 days as per the requirement
4. Delivery charges



User Persona:



Preeti Rao

Profession: SDE
Age: 25 Years
Married

Preet works at IT MNC. Because of her job timings, she finds it very hectic to get her daily essentials on time.

Pain Points:
Many times she is unable to keep track of everything they need in a grocery. Also sometimes she forgets to order/buy groceries on time.



Yash Oak

Profession: Student
Age: 20 Years
Bachelore

Yash is a computer engineering student at University. He lives with 2 other friends in an apartment. Yash loves to make his own breakfast.

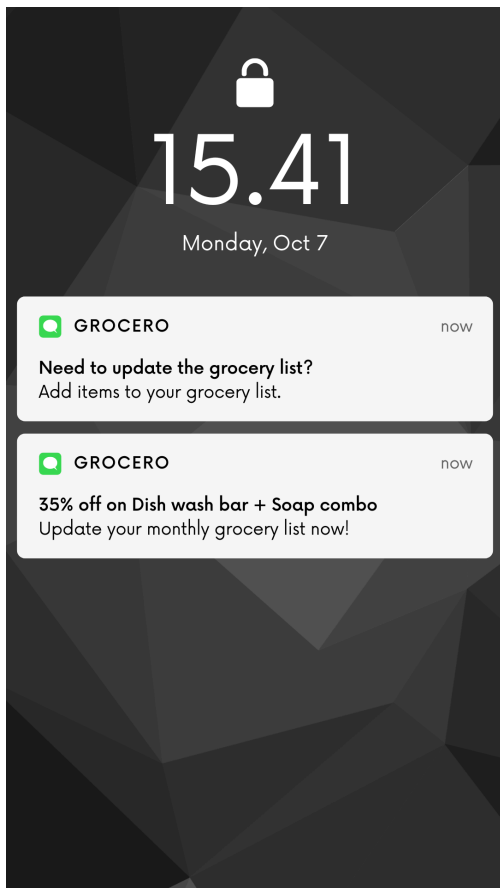
Pain Points:
Yash needs a limited amount of groceries such as sachet packs which he struggles to purchase from stores. Also, he is unable to keep track of what needs to be added to the grocery.

Value Matrix

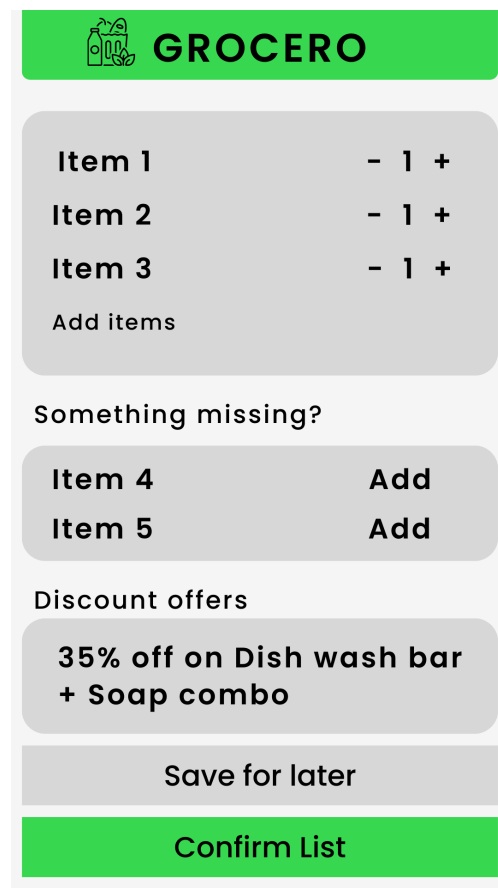
Pain Points	Product Value	Message
Users cannot keep track of everything they need in grocery	Subscription Plan: It will allow users to subscribe to the delivery services weekly/monthly products.	Order groceries without hassle
Users have to choose all their items again when reordering, which can be a hassle	Order Subscription: It will allow users to subscribe to a set of items repeatedly getting delivered monthly/ weekly	Your groceries, our commitemnt
Users find it time-consuming to select the same products every month	This feature will let users re-order past delivery items without the need of selecting them individually again.	Monthly groceries with just one click

Increasing AOV

1. Suggesting similar items based on the user grocery list
2. Promoting discounted products so that users can add products along with needed items
3. Upsell/cross-sell
4. Notifying the users every 15-30 days based on preferred grocery delivery time



Notifications



Cross sell

Prioritizing which areas to launch

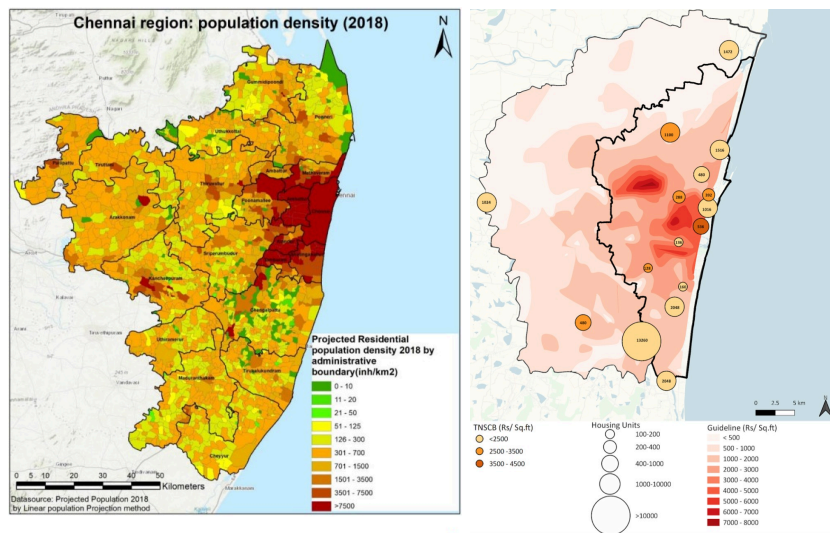
For a tier 1 city like Chennai the area for initial launch can be decided upon

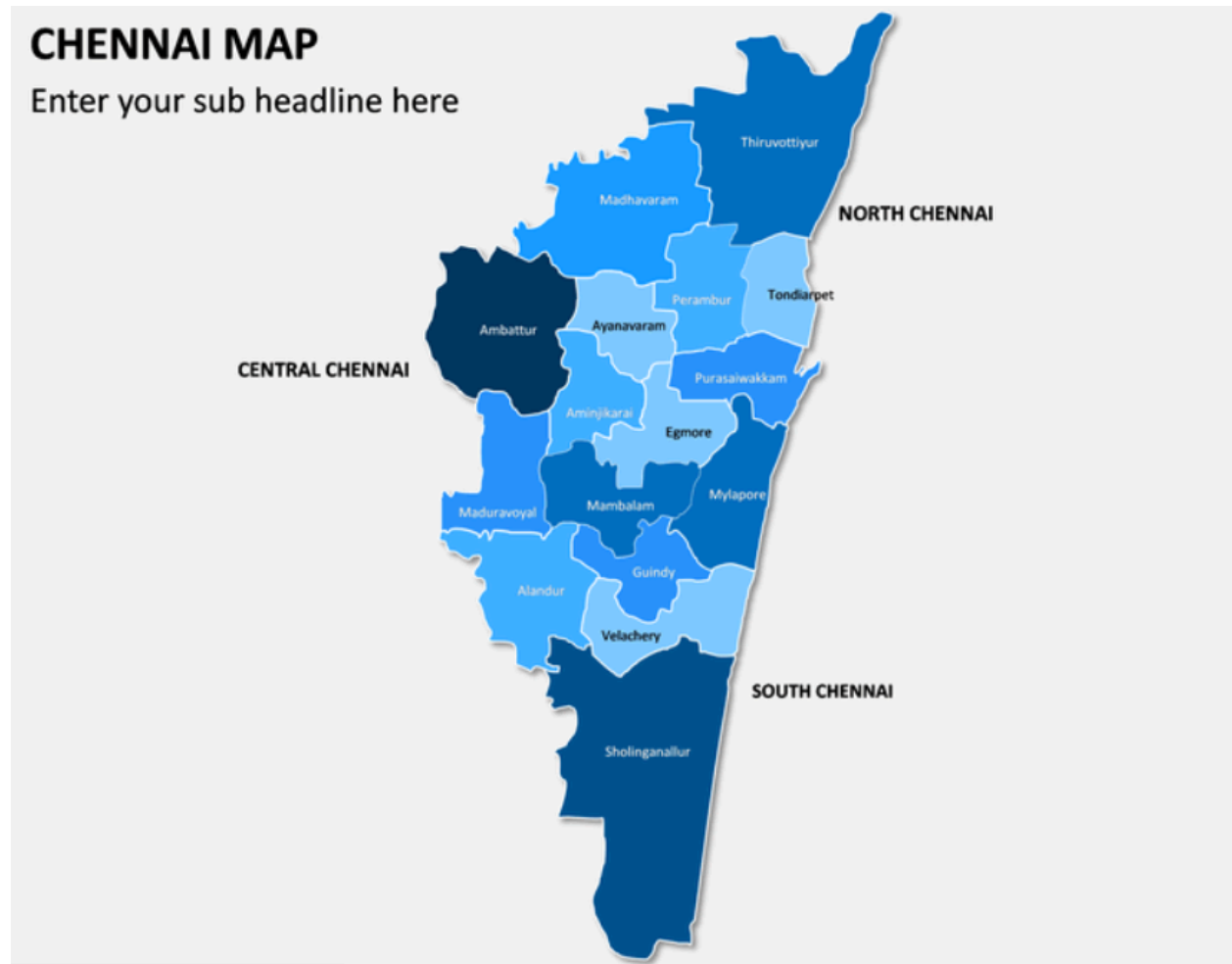
Population density - targeting higher population

IT company areas - surrounding residential areas of IT workers

High housing rates - identifying high paying users

Conclusion: Based on residential areas where more connectivity, facilities are available where the majority of IT workers live

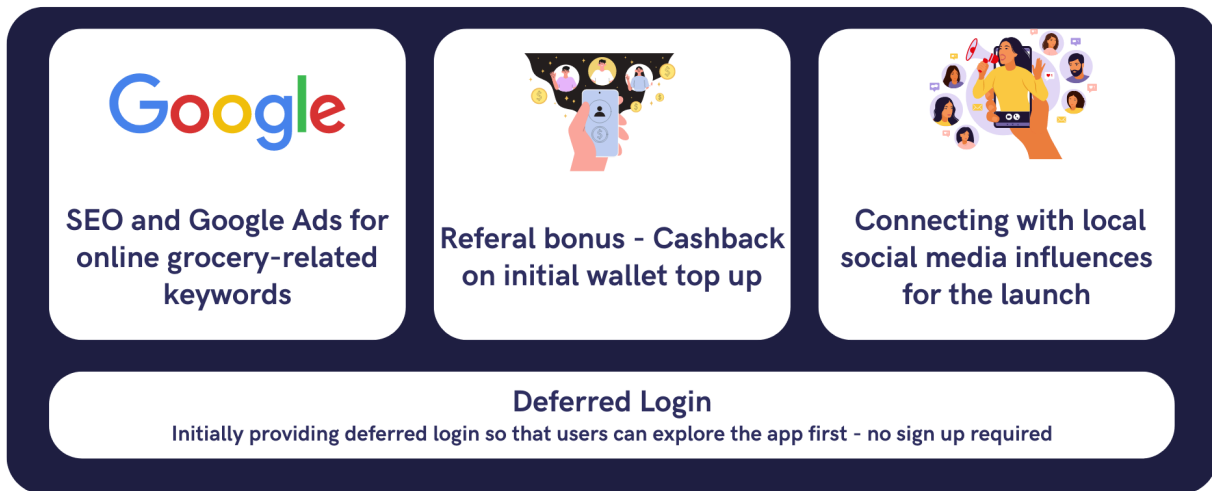




Based on analysis It will be better to launch in parts of central Chennai and south Chennai approximately namely

- **Mambalum**
- **Aminjkarai**

Marketing strategy plan:



Metrics

Installs
Landing page views
Social media interactions

Possible pitfalls

External such as - competitor announcing sale during launch period so no customer will get attracted to us

Initially it will be difficult to store the items since no information available from user.